

economics has been a disaster because it has greatly narrowed the scope of the field.

Do you have a favorite economist?

Keynes. It's a shame that Keynesianism in the United States has become this weird word whose meaning is barely recognizable.

That's because in the United States, people apply the word Keynesianism to refer to deficit spending, regardless of whether it occurs in an economic expansion or contraction.

That's not what he said.

I know that. Although he certainly would have favored deficit spending in 2008 and 2009, he would have had a very different perspective about deficit spending in the expanding economy that prevailed in previous years.

Yes, Keynes was a fiscal conservative.

I'm curious as to your views regarding the critical dilemma that currently faces the United States. On one hand, if deficits are allowed to go on, it could well lead to a catastrophic outcome. On the other hand, if you begin substantially cutting spending with current unemployment still very high, it could trigger a severe economic contraction, leading to lower revenues and upward pressure on the deficit.

The argument for fiscal stimulus is a perfectly coherent, logical case. The counterargument that we should cut spending now is also a perfectly rational case. But both sides are often expressed in totally irrational ways. I think the biggest mistake people make is to assume there is an answer when, in fact, there may not be a good answer.

I actually had the same perception after the 2008 presidential election. I thought the economy had been so mismanaged between the combination of exploding debt and a postbubble collapse in economic activity that there might not be any solution. The American humor newspaper, the *Onion*, captured the situation perfectly. Their headline after Obama was elected was, "Black Man Given Nation's Worst Job."